

Presentation Script — Token Economies in Web3

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Slide 1 — Title Slide

Good [morning/afternoon], everyone. My name is Mukhammadsodik Shukirillaev, and today I'll be presenting on **Token Economies in Web3** — specifically, how blockchain tokens power decentralized ecosystems. This is a topic at the intersection of economics and technology, and by the end of this presentation, I hope you'll have a clear picture of how digital tokens are reshaping the way we think about value, ownership, and finance.

Slide 2 — Agenda

Here's what we'll be covering today. We'll start from the very basics — what a token economy actually is — and then move through the different types of tokens, how their economics are designed, and real-world examples of systems doing this today. We'll also look at use cases, DeFi and governance, and finally the challenges and the future of this space. Let's dive in.

Slide 3 — What Is a Token Economy?

So, what exactly is a token economy? At its core, it's a system where digital tokens — issued on a blockchain — are used to represent value, incentivize behavior, and coordinate people in a decentralized network, with no central authority in control.

What makes these tokens special comes down to four properties. First, **digital scarcity** — tokens are finite, and scarcity is what creates value, just like with physical goods. Second, they're **programmable** — smart contracts automate the rules and rewards without needing a middleman. Third, they're **permissionless** — anyone in the world can participate. And fourth, they're **transparent** — every transaction is visible on the blockchain.

Slide 4 — A Brief History

To understand where we are today, it helps to look at how token economies evolved. It started with **Bitcoin in 2009** — the first digital currency with a hard cap of 21 million coins. Then in 2013, Mastercoin launched the first token sale on top of Bitcoin. 2015 was a turning point when **Ethereum** introduced smart contracts, making it possible to create programmable tokens easily.

By 2017, we had the ICO boom — over \$5.6 billion raised through token sales and the ERC-20 standard became the industry norm. In 2020, DeFi summer showed what tokens could really do in finance. 2021 brought the NFT explosion to mainstream attention. And now, in 2023 and beyond, we're seeing **real-world assets** — things like real estate and stocks — being tokenized and brought on-chain.

Slide 5 — Token vs Coin — What's the Difference?

One question that comes up a lot is: what's the difference between a coin and a token? They're often used interchangeably, but they're actually distinct.

A **coin** has its own blockchain. It functions as a currency or store of value and is secured by its own network. Think Bitcoin, Ethereum, Solana, Cardano.

A **token**, on the other hand, is built on top of an existing blockchain. It can represent assets, rights, or utility — but it relies on the host chain's security. Examples include USDT, UNI, LINK, and AAVE. Simply put: all coins can be tokens, but not all tokens are coins.

Slide 6 — Types of Crypto Tokens

Now, tokens themselves come in many different forms. Let me walk through the main categories.

Utility tokens grant access to a product or service — like Filecoin, where you pay to use decentralized storage.

Security tokens represent ownership in real-world assets and are subject to securities regulation — an example is tZERO, which represents tokenized equity.

Governance tokens give holders voting rights over protocol decisions — Uniswap's UNI token is a classic example.

Stablecoins are pegged to fiat currencies like the US dollar to reduce volatility — USDC is one of the most widely used.

NFTs — non-fungible tokens — are unique and can represent art, gaming assets, or digital identity. CryptoPunks are among the most famous.

And finally, **LP tokens** are what you receive when you provide liquidity to a DeFi pool — they represent your share of that pool.

Slide 7 — Tokenomics — The Economics of Tokens

This brings us to **tokenomics** — a word that combines “token” and “economics.” It’s the study of how a token is designed, how it’s supplied, how it’s distributed, and what incentive structures govern its behavior.

There are five key pillars. **Supply** — how many tokens exist now, what’s the max, and is it inflationary or deflationary? **Distribution** — how are tokens allocated among the team, investors, and the community? **Incentives** — what behaviors does the token reward, like staking or providing liquidity? **Velocity** — how fast tokens move between hands, because high velocity can reduce price pressure. And **utility** — the more you can do with a token, the more demand it generates. Good tokenomics requires all five of these to work together.

Slide 8 — Supply Mechanics

Let’s go deeper on supply. There are four main supply models.

Fixed supply — like Bitcoin, with a hard cap of 21 million — creates scarcity that can drive value over time. This is deflationary by design.

Inflationary supply — like Ethereum post-merge — continuously mints new tokens to reward validators, but at a very low rate of around 0.5%.

Burn mechanisms — where tokens are permanently destroyed — create deflationary pressure. Ethereum, for example, burns base gas fees via EIP-1559.

And **vesting schedules** — which gradually unlock tokens for the team and investors — prevent large sell-offs and protect long-term token health. A typical schedule is a 4-year vest with a 1-year cliff.

Slide 9 — Token Distribution

Distribution is often overlooked but critically important. If ownership is too concentrated, you get centralization risk — a few wallets can control the entire protocol. If the team holds too large a share with short vesting, they can dump their tokens and crash the price.

On the positive side, community-first distributions — like airdrops — can bootstrap adoption and reward early users. A healthy treasury funds ongoing development.

A key **red flag** to watch out for: if a project allocates more than 30% to the team with short vesting periods, that's a serious warning sign.

Slide 10 — Case Study 01: Ethereum (ETH)

Now let's look at real examples. Ethereum is often called the "World Computer" — it's the programmable blockchain that powers much of the token economy we've discussed.

ETH is the native currency used to pay for computation, called gas. Every transaction on Ethereum requires ETH. Thanks to **EIP-1559**, a portion of that fee is burned with each transaction, reducing the total supply over time.

Ethereum switched to **Proof of Stake**, where validators lock up 32 ETH to secure the network and earn around 4% annual yield. With a peak market cap of \$3 trillion and over 90% of DeFi built on Ethereum or compatible chains, it's the backbone of the ecosystem.

Slide 11 — Case Study 02: Solana (SOL)

Solana takes a different approach — it competes on **speed and low cost**. It can handle 65,000 transactions per second, with fees averaging around \$0.001 per transaction.

Its innovation is **Proof of History** — a cryptographic clock that allows the network to process transactions in parallel at massive scale. Solana uses an inflationary model, starting at 8% annual inflation and decreasing by 15% each year, with a long-term floor of 1.5%.

Stakers earn about 6–7% APY for securing the network, and the upcoming Firedancer upgrade aims to push capacity to 1 million TPS. The growing Solana ecosystem drives constant demand for SOL.

Slide 12 — Case Study 03: Bitcoin — Designed for Scarcity

Bitcoin's tokenomics are arguably the simplest — and perhaps the most powerful. It was **designed for scarcity** from the very beginning.

There will only ever be 21 million Bitcoin. The block reward **halves approximately every 4 years**, reducing the rate of new supply. This gives Bitcoin a high stock-to-flow ratio — similar to gold — suggesting store-of-value properties.

Bitcoin had a **fair launch** — no pre-mine, no private ICO. Satoshi didn't give himself a privileged allocation. And because an estimated 3–4 million BTC are permanently lost, the effective supply is even tighter. These design choices are why Bitcoin is treated as "digital gold."

Slide 13 — Case Study 04: Chainlink (LINK) — Utility Token in Action

Chainlink demonstrates a strong example of a **utility token** that solves a real problem. The smart contract world is isolated — it can't natively access real-world data like prices or weather. Chainlink's oracle network bridges that gap.

LINK is used to pay node operators who provide this data. Those operators also **stake LINK as collateral** — if they provide wrong data, they get slashed. This creates a strong incentive for accuracy. With 1 billion total supply and Chainlink powering over 90% of DeFi price feeds, LINK has deep, embedded utility in the Web3 infrastructure.

Slide 14 — Token Use Cases

Beyond finance, tokens are being applied across many industries. Let me briefly highlight the main areas.

Payments and remittances — tokens enable cross-border transfers in seconds, stablecoin settlements, and even micropayments. **DeFi** — earning yield, borrowing against crypto, and permissionless trading. **Gaming and Metaverse** — players can truly own in-game assets as NFTs, earn tokens through gameplay, and take items across games. **Identity and Access** — token-gated communities, proof of membership, and on-chain reputation. **Supply Chain** — tracking goods provenance and automating payments on delivery. And the **Creator Economy** — fan tokens, direct monetization, and royalties paid automatically via smart contracts.

Slide 15 — Decentralized Finance (DeFi)

DeFi is one of the most powerful applications of token economies. It recreates traditional financial services — lending, borrowing, trading — but with no banks or intermediaries.

DEXes like Uniswap use automated market makers, or AMMs, replacing traditional order books with liquidity pools. **Lending protocols** like Aave and Compound let you deposit tokens as collateral and borrow against them — always over-collateralized for security.

Yield farming lets you provide liquidity and earn both trading fees and governance token rewards. And **stablecoins** like DAI maintain their peg through over-collateralization, making them the safe medium of exchange within DeFi.

Slide 16 — Governance Tokens & DAOs

Governance tokens take decentralization a step further. A DAO — a Decentralized Autonomous Organization — is governed entirely by its token holders. No CEO, no board.

The process works in four steps: First, any token holder can **submit a proposal** on-chain. Second, the **community debates** it on forums like Discourse or Snapshot. Third, **token holders vote** — typically one token equals one vote, though some protocols use quadratic voting. And fourth, if passed, the proposal **auto-executes** via a smart contract timelock. This is governance without gatekeepers.

Slide 17 — Staking & Earning Yield

Tokens also let people **earn yield** in several ways.

In **Proof of Stake staking**, you lock tokens to validate transactions and earn newly minted tokens as a reward — around 4% on Ethereum, 6–7% on Solana.

Liquidity mining means depositing tokens into a DEX pool. You earn trading fees — 0.3% per trade on Uniswap — plus governance token rewards.

Lending APY works like a savings account: deposit tokens on Aave or Compound, and borrowers pay interest that goes to you.

And **real yield** is considered the most sustainable — it comes from actual protocol revenue shared with stakers, like GMX or dYdX.

One important warning: extremely high APY is often a sign of high inflation or risk.

Always ask: is this yield real, or is it just token printing?

Slide 18 — Challenges & Risks

Token economies are not without serious challenges. Let me be direct about the risks.

Market volatility — crypto can drop 80–90% in bear markets. Terra/LUNA lost \$40 billion in value in a matter of days.

Regulatory uncertainty — many tokens may be classified as unregistered securities. The legal landscape differs across countries and is rapidly evolving.

Smart contract bugs — over \$3 billion was lost to exploits in 2022 alone. Code is law, which means bugs are irreversible.

Token concentration — in many projects, the top 1% of wallets hold 90%+ of the supply, enabling manipulation and governance capture.

Mercenary liquidity — yield farmers chase the highest returns and abandon protocols when incentives dry up.

And **scams and rug pulls** — in 2021 alone, \$7.7 billion was stolen this way. Due diligence before investing is absolutely critical.

Slide 19 — Regulation Landscape

Regulation is perhaps the biggest external force shaping token economies right now. Let me quickly map the global landscape.

The **United States** remains uncertain — the SEC treats most tokens as securities, and major lawsuits are ongoing. The **EU** is now the most regulated market, with the MiCA framework in force since 2024. **Singapore** is crypto-friendly with a clear licensing regime, making it a major Web3 hub. **China** has banned crypto trading and mining entirely, pushing forward its own digital yuan instead. **South Korea** — where many of us are — enforces strict AML/KYC rules and requires exchange licensing. And the **UAE and Dubai** have positioned themselves as a global crypto hub through the VARA framework, attracting hundreds of firms.

Slide 20 — The Future of Token Economies

Looking ahead, five major trends are shaping the future.

Real-World Asset tokenization — institutions like BlackRock are already tokenizing bonds and treasuries. The RWA market could reach \$16 trillion by 2030.

Account Abstraction and UX improvements — smart wallets, gasless transactions, and social login will make Web3 as easy to use as Web2.

AI x Blockchain — AI agents will transact autonomously using crypto wallets, enabling agent-to-agent micropayments and new token models for AI compute.

Central Bank Digital Currencies — over 130 countries are developing CBDCs, which could either compete with or complement existing crypto tokens.

And **Cross-Chain Interoperability** — protocols like LayerZero and Wormhole are breaking down silos between blockchains, moving toward a unified token economy.

Slide 21 — Key Takeaways

To summarize the main points from today:

Tokens are programmable digital assets — far more than just “crypto coins.” Tokenomics involves supply, distribution, incentives, velocity, and utility all working together. Real-world examples — Bitcoin for scarcity, Ethereum for utility and burn mechanics, LINK for oracle payments, UNI for governance — show these principles in practice. DeFi uses tokens to replace banks with permissionless, open financial services. The risks are real — volatility, regulation, hacks, and concentration all matter. And the future is converging — AI agents, real-world assets, CBDCs, and cross-chain systems are the next frontier.

Slide 22 — Thank You

And with that, I'd like to thank you for your attention. Token economies are genuinely reshaping how value is created, distributed, and governed in the digital age — and we're still in the early chapters of that story. I'm happy to take any questions.

If you want to explore further, I'd recommend ethereum.org for DeFi basics, docs.uniswap.org for DEX mechanics, and defillama.com and coingecko.com for live on-chain data.

Thank you.

